

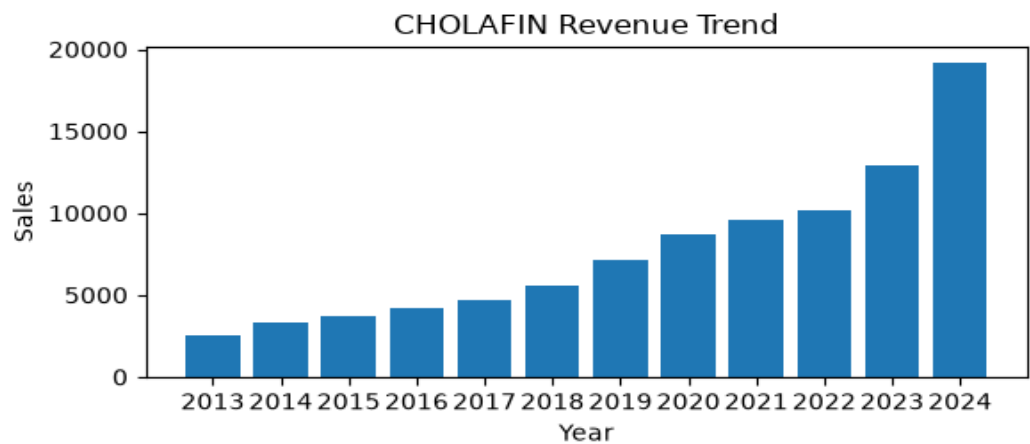
Cholamandalam Investment & Finance Company Ltd

Ticker: CHOLAFIN
Sector: Financials

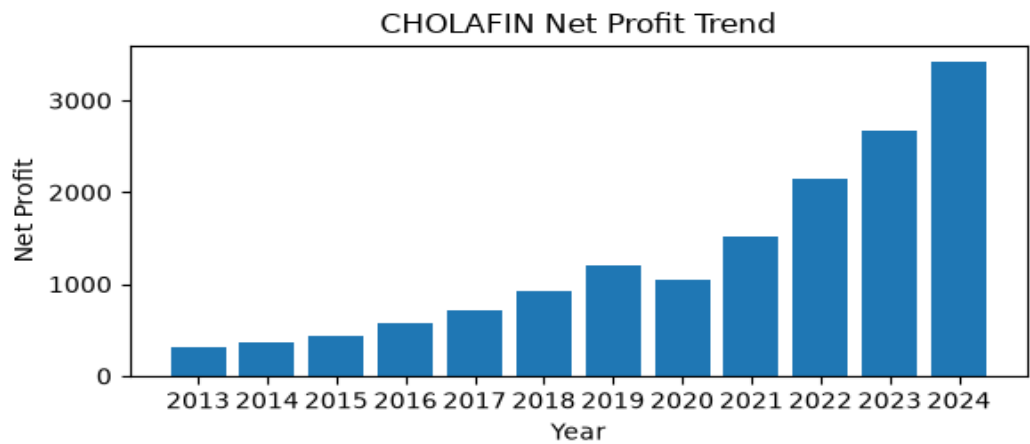
Key Metrics

ROE: 17.46%
ROCE: 3.50%
NPM: 17.85%
Debt/Equity: 6.86
FCF: ■-38,538 Cr
Revenue CAGR: 21.94%

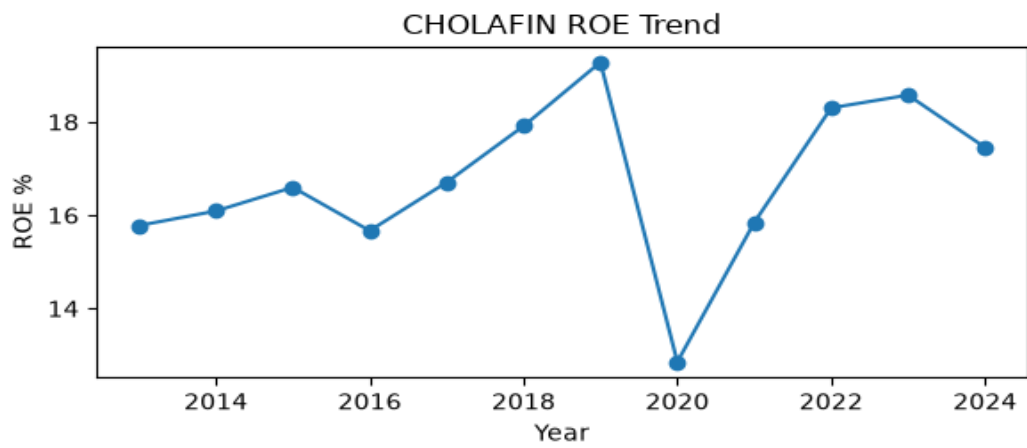
Revenue Trend



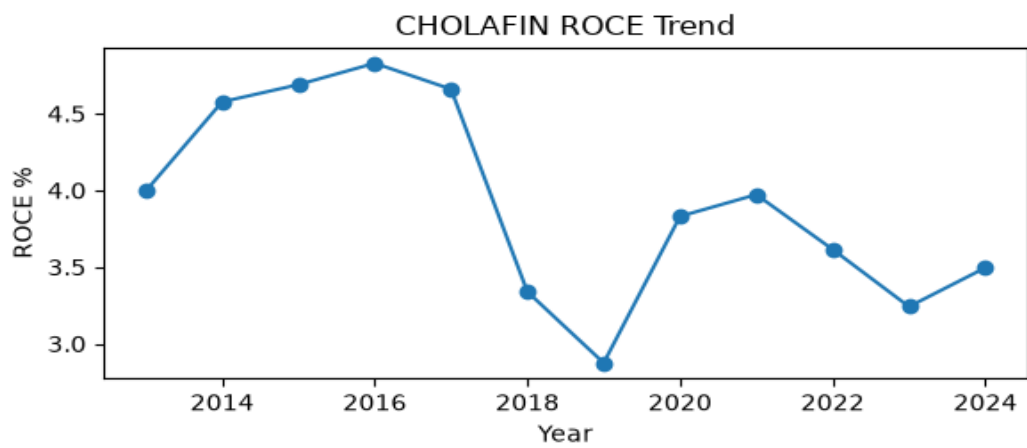
Net Profit Trend



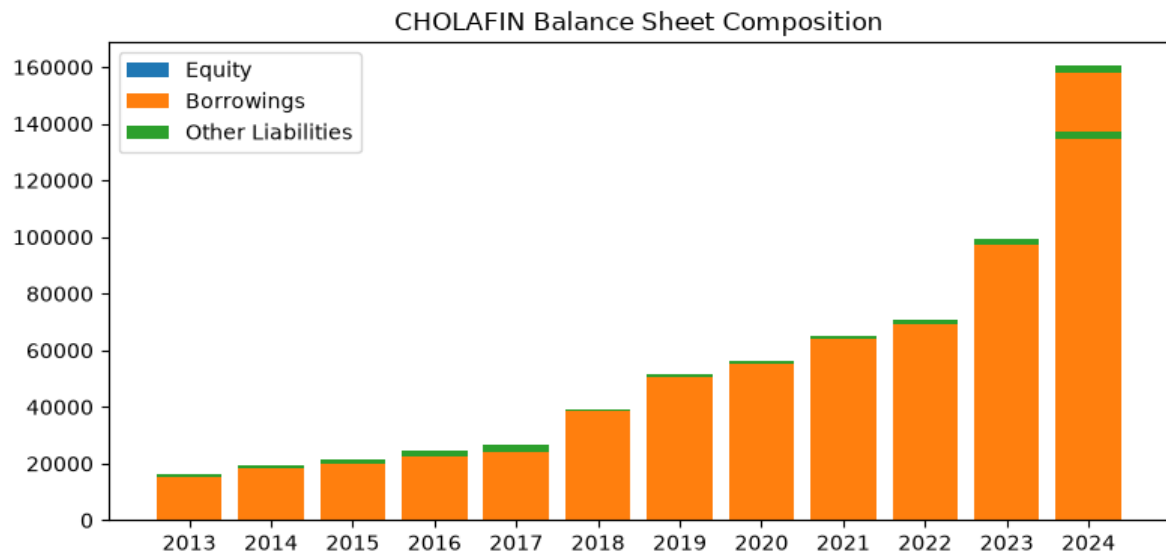
ROE Trend



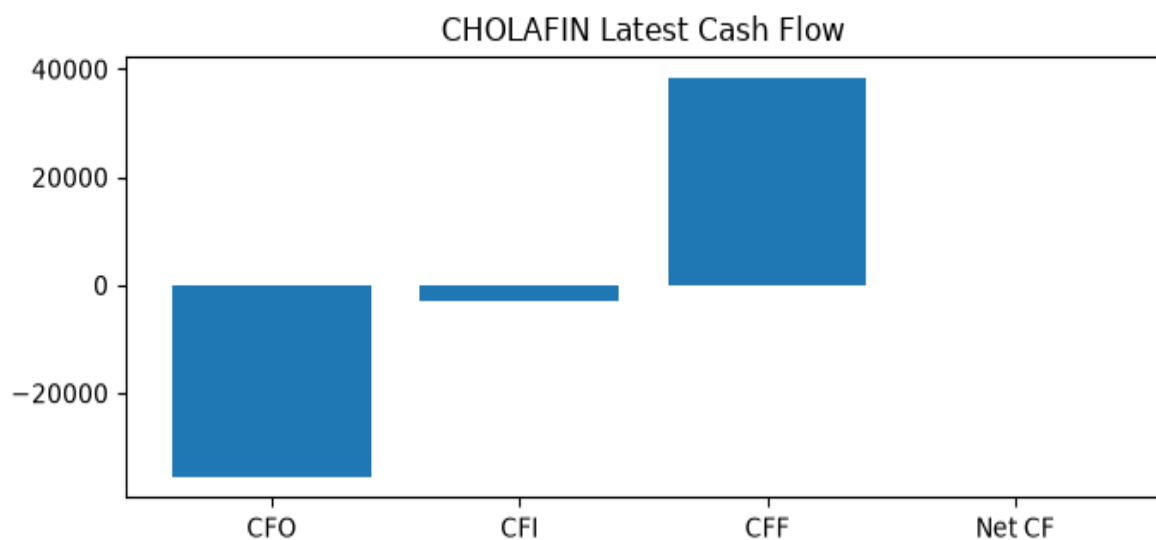
ROCE Trend



Balance Sheet Composition



Cash Flow Summary



Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- EPS growing above 15% CAGR indicates strong earnings quality

Cons

- Debt-to-equity ratio of 6.86 is elevated and warrants monitoring

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Operating margins declining for 3 consecutive years
- ROCE below 10% suggests weak capital efficiency